

Survivorship Bias

In short: It's when we only look at the "winners" (the survivors) and completely ignore the "losers" (the ones that failed), leading us to some pretty wrong conclusions.

What Actually Is It?

When we try to figure out how something works, we naturally look at the examples that are right in front of us. The problem? The examples left standing are usually the successful ones. The failures disappeared, so we forget they ever existed.

- The Trap: "If I copy exactly what the successful people did, I will succeed too!"
- The Reality: A lot of unsuccessful people did the exact same things, but you just don't hear about them.

The Classic Example: The WWII Armor Paradox

This is the famous story everyone uses to explain it.

During World War II, the military wanted to add armor to their bombers so they wouldn't get shot down.

- What they did first: They looked at the planes coming back from missions and counted the bullet holes. The wings and tails were riddled with holes. So, they decided to add armor to the wings and tails.
- The "Aha!" Moment: A mathematician named Abraham Wald pointed out they were doing it completely backward.
- Why? The planes they were examining survived being shot in the wings. They could take damage there and still fly home. The planes that got shot in the engines and cockpit didn't make it back to be analyzed.
- The Fix: They put armor where the bullet holes weren't on the surviving planes.

Everyday Examples (How it tricks us today)

- The College Dropout Myth: We look at Bill Gates, Steve Jobs, and Mark Zuckerberg and think, "Hey, they dropped out of college and became billionaires."
- I should drop out too!" o What we forget: For every billionaire dropout, there are hundreds of thousands of people who dropped out and struggled financially. We only see the "survivors."
- Old Buildings & Vintage Cars: "They just don't make 'em like they used to! Things built in the 1950s lasted forever." o What we forget: The poorly made from the 1950s already fell apart and was thrown away decades ago. We are only looking at the absolute best-built items that survived.
- Business Advice: Successful CEOs writing books about their "7 habits for success." o What we forget: Thousands of bankrupt business owners had those exact same 7 habits, but they also had bad luck, bad timing, or a changing market.

How to Avoid It

To stop making this mistake, I need to start asking myself one simple question whenever I see a success story:

"Where are the bodies buried?" (i.e., What does the failure data look like, and why can't I see it right now?)

- Don't just study success; study failure.
- Remember that luck and hidden variables play a huge role.

Look for the missing data, not just the obvious data